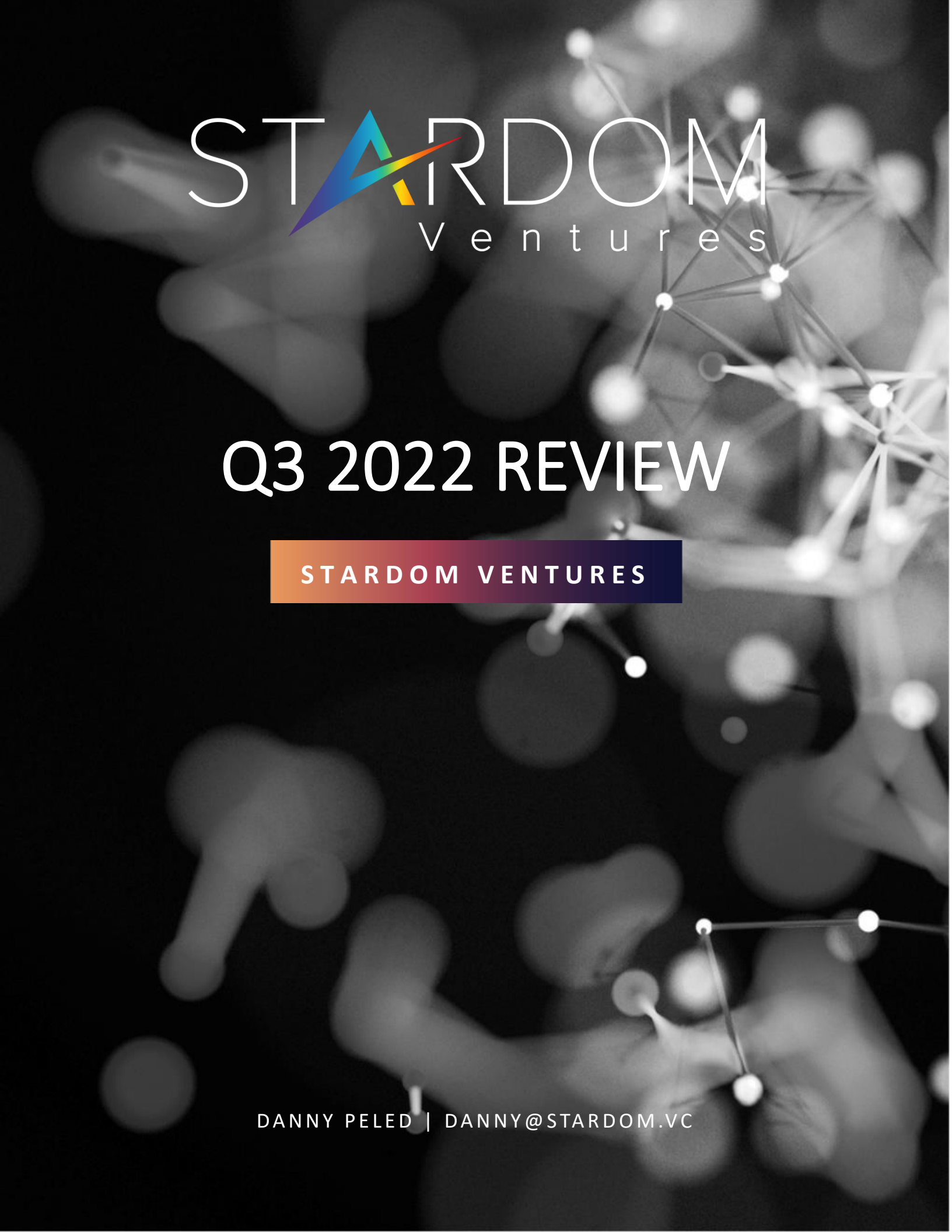

STARDOM Ventures

Q3 2022 REVIEW

STARDOM VENTURES

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SUMMARY

- **2022 Highlights:**
  - 4 new investments with a total amount of $7.5M
  - 7 follow-ons investments in the amount of $7.9M
  - Fair market value: $44M
  - Gross Multiple: 1.9x
  - Net Profit 1-9/22: **$4.5M**

- **New investments in 2022:**
  - Treat: Treat gives pet lovers the option to co-own & treat a real dog or cat in a gamified experience that mixes gaming with real-life activism – we invested $2M at $7M pre-valuation (21%)
  - Botika: a motion transfer system able to convert any image of a person into a 3D avatar in real-time – we invested $2M as a SAFE with a Cap of $17M and a 20% discount
  - Tedooo: The first B2B social platform customized for the trade world- we invested $2M at $7.5M pre-valuation (19%)
  - Astrid- Astrid wishes to invent the next generation of games - a shared & evolving world that invites players to create their own stories– we invested $1.5M as a SAFE with a Cap of $15M and a 20% discount

- **Follow-On Investments in 2022:**
  - Deepdub: $896K at a $60M pre-money valuation
  - Flying pigs: $452K at a $20M pre-money valuation
  - BrandTotal: $600K as a SAFE with a Cap of $6M and a 20% discount
  - Maapilim- $750K $at a $15.8M pre money valuation
  - Edge Gaming- $4.1M at a $75M pre-money valuation
  - NYK. - $500K at a $13M pre-money valuation
  - Syte- $545K as a SAFE with a Cap of $55M and a 20% discount

OUR VIEW OF THE MARKET

The Markets:
Inflation rates are taking their toll on the markets, and public markets are still very unstable and volatile. As no new IPOs are around the corner, there are currently no-exit scenarios for late-stage investors.

The domino effect of this trend on startups is now present in all funding rounds, from pre-seed companies, that currently prefer not to raise money, to very late-stage companies that are tightening their belts and doing their best to manage their runway by adopting tactics such as layoffs and lowering their expenses.

Media Sector:
The media market specifically is one of the markets that is currently taking a hit, as customer expenditure is expected to decrease, the advertisers are being more cautious with their expenses, and as a result we also saw this quarter, for the first time since initiated, a decrease in the revenues of YouTube. We also see a constant decline in the revenues of Meta.

The streaming media market is also in stand-still mode. Streaming growth for both Netflix and Disney is reaching a plateau. Both companies are trying to tap new opportunities by entering lower-tier customers via ad-based offerings. We see that as a very interesting opportunity for the Ad-Tech business that is gaining new traction.

Startup Opportunities:
We see that valuations are coming down fast, that also includes first rounds of investment. The hottest investment field these days is "Generative AI" - which refers to unsupervised and semi-supervised machine learning algorithms that enable computers to use existing content like text, audio and video files, images, and even code to create new possible content. Most famous example is Dall-E2 from OpenAI. As it is all surrounding media, we believe that this area of investment will change the way we produce and create media and we are very excited about the opportunities we see in this field

Our Portfolio:
We are not expecting any recovery in the market for the next few quarters and just as we did in the previous quarters, we are focusing on two main missions:

1. Assist our portfolio companies with finding additional sources of funding in various formats – from equity rounds, SAFE rounds, or financial loans
2. Work with the portfolio companies on budget plans to extend the runway

FINANCIALS

As of September 30, 2022

PORTFOLIO STATS

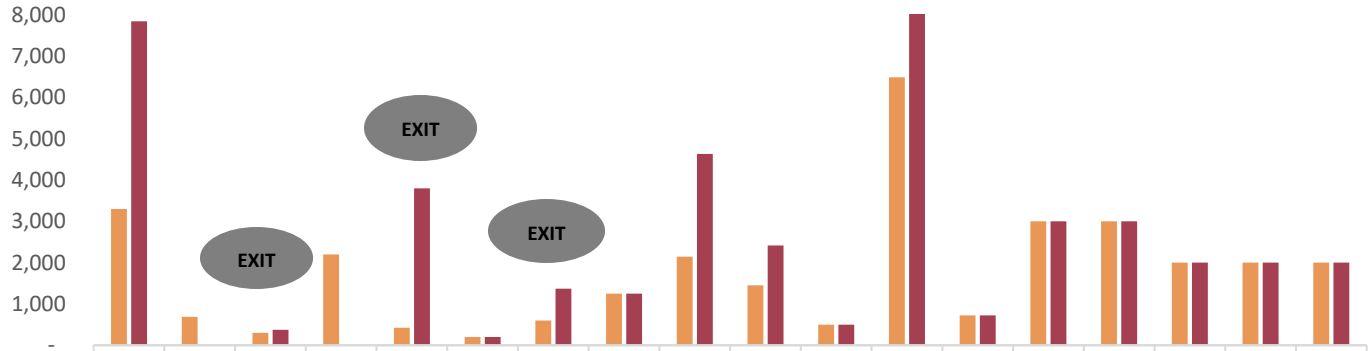
(In US thousands)

Fair market value	49,578	Number of First checks	18
Cost of portfolio companies	32,271	Avg amount of First checks	1,037
Gross Multiple (*)	1.9x	Number of Follow-ons	18
Number of exits	3	Avg amount of Follow-ons	755

(*) The Gross Multiple does not include new portfolio investments made in the past year.

PORTFOLIO FAIR MARKET VALUE

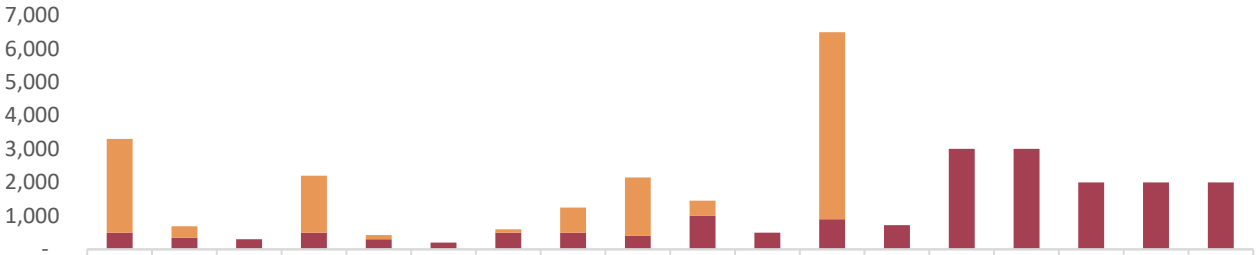
(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Edge Gaming	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo
FMV	7,840	-	375	-	3,800	200	1,370	1,250	4,629	2,414	500	14,475	724	3,000	3,000	2,000	2,000	2,000
Cost	3,299	690	300	2,197	425	200	600	1,250	2,146	1,453	500	6,487	724	3,000	3,000	2,000	2,000	2,000
Holding %	6.2%	Dissolved	Exit	5%	Exit	SAFE	Exit	6.2%	5.8%	9.7%	6%	13.8%	7.8%	15%	18.8%	21.1%	SAFE	19%
Multiple X	2.4	-	1.3	-	8.9	1	2.3	1	2.2	1.7	1	2.2	1	1	1	1	1	1

PORTFOLIO ALLOCATION

(In US thousands)



	Syte	2Sens	Uponit	Brand Total	IMGN Media	Drove	Odo	Maapilim	Deep-dub	Flying Pigs	Nyk.	Edge Gaming	Nlight	Humanz	Muuula Games	Treat	Botika	Tedooo
Follow-on Investments	2,799	340	-	1,697	125	-	100	750	1,746	453	-	5,587	-	-	-	-	-	-
First Investment	500	350	300	500	300	200	500	500	400	1,000	500	900	724	3,000	3,000	2,000	2,000	2,000

PORTFOLIO UPDATE

SYTE

ABOUT: Syte helps retailers connect shoppers to the products that inspire. It uses visual AI to create intuitive search and discovery experiences for all shoppers.

UPDATE: In October 2022, the company raised from the current shareholders $10.5M as a SAFE with a Cap of $55M and a 20% discount and a 2X participant preference. We invested $545K.

BRANDTOTAL

ABOUT: BrandTotal uncovers and analyzes competitors' "dark" marketing efforts, illuminating their strategies and tactics by applying advanced cyber security techniques and artificial intelligence.

UPDATE: The company seized its operations. As we already erased it from our books, there are no further consequences to Stardom.

DROVE

ABOUT: The company provides the quickies and easiest way to create online shops, forms, ticketed events, landing pages and newsletters.

UPDATE: The company maintains profitability and currently working on new product ideas to increase performance and profitability.

MAAPILIM

MAAPILIM

ABOUT: The company offers grooming and lifestyle products created with natural ingredients taken from the Mediterranean.

UPDATE: In the first quarter of 2022, the company signed an agreement with the A-listed Hollywood star Jared Leto to serve as the company's face. The company is now in a re-branding process and relaunched as a new Lifestyle Brand.

In April 2022, the company raised from the current investors $4.5 million in Series A funding.

Round A: $750K at $15.8M pre-valuation (6.16%)

PORTFOLIO UPDATE (cont.)

FLYING PIGS

ABOUT: Piggy is a mobile app that makes it easy and fun to create documents, presentations, web pages, invitations, and blog posts on a mobile phone, all enriched with visual storytelling features.

UPDATE: In February 2022, the company raised $5 million in Seed funding led by New York-based global venture capital and private equity firm Insight Partners.

Seed Round: $452K at $20M pre-valuation (9.7%)

DEEPDUB

ABOUT: DeepDub aims to bridge the language barrier and cultural gap in entertainment experiences through high-quality seamless localization.

The company provides a high-quality seamless localization service of entertainment content using deep learning and AI algorithms. DeepDub plugs into the post-production process of content owners and takes complete ownership of all their localization needs.

UPDATE: In January 2022, the company raised $20 million in Series A funding led by New York-based global venture capital and private equity firm Insight Partners.

Series A Round: $895K at $60M pre-valuation (5.8%)

NOW YOU KNOW. (FORMERLY GRASP)

ABOUT: The company is leveraging technology to identify trending topics and repeatably create hit online courses, at scale. Currently, the company is releasing a new video course every month and growing its audience and technology

UPDATE: In November 2022, the company raised $2.5 million in Seed-1 funding.

Seed-1 Round: $500K at $13M pre-valuation (7.1%)

PORTFOLIO UPDATE (cont.)

NLIGHT

ABOUT: Nlight is the first software as a service (SaaS) platform that enables Mobile Games Product and Live Ops competitive intelligence. Nlight is based on proprietary machine learning and data mining technologies.

UPDATE: The company is reevaluating its business proposal and will soon announce its new pivot strategy.

LUDEO (FORMERLY EDGE GAMING)

ABOUT: The company is developing a cutting-edge gaming experience allowing gamers to capture their gameplay highlights and instantly make them into a **"Playable"** - an actual game "chunk" that others can play.

UPDATE: An alpha version was released early this year and is gaining a lot of buzz in the gaming industry. The goal for 2022 is to sign up as many publishers as possible.

In June 2022, the company raised $30 million in Series A funding led by Corner Ventures.

Series A Round: $4.13M at $75M pre-valuation (13.79%)

HUMANZ

ABOUT: Humanz is an AI-powered influencer marketing platform engineered to bring back trust between marketers, content creators, and their audiences, aimed at combating influencer fatigue while also measuring true ROI and creating a safe and seamless end-to-end experience for all parties involved.

Humanz is now established in numerous markets, with strong partnerships with leading brand portfolio companies, D2C businesses, and agencies, including L'Oréal, Unilever, Kimberly-Clark, Nestlé, Cipla, Reckitt Benckiser, Universal McCann, and GroupM.

UPDATE: The company is planning an additional round in Q4-22.

MUUULA

ABOUT: The company plans to bring a new type of experience to the gaming world by adding very sophisticated game economy principles which are mostly utilized in casino type of games onto a conservative gaming environment and create more competitive and payable experience than the typical game apps we can today in the gaming world.

UPDATE: First game "Memory Pirates" has already been tested by more than 25K players worldwide and will be ready for production by the end of 2023.

PORTFOLIO UPDATE (cont.)

TREAT

ABOUT: Treat is a play to rescue platform. Based on gamification, Treat gives pet lovers the option to co-own & treat a real dog or cat in need (a real-life "Tamagotchi").
The company's mission is that almost every pet lover will have a real animal they take care of by playing on Treat.

Seed Round: $2M at $7M pre-valuation (21%)

BOTIKA

ABOUT: Botika researched, developed and successfully launched into production a one of a kind Motion Transfer system that's currently state-of-the-art. The company technology can convert any image of a person into a moving avatar, purely automatically, without any pre/post-processing steps and in real-time.

UPDATE: As part of the momentum change in the market, and the unclear path to revenues, the company is now evaluating new directions in which it can generate substantial revenues as well as raise additional funding. The goal is to find a profitable B2B use case for the exact same avatar technology that the company has developed over the last year.

Our investment: $2M as a SAFE with a Cap of $17M and a 20% discount

TEDOOO

ABOUT: Tedooo is the first B2B social platform customized for the trade world!

The company's vision is to boost and create global trade communities via relationships and partnerships between sellers and buyers and any type of companies or individuals related to the trade world.

The Tedooo platform is designed to provide all the tools and features our communities need to connect and scale their business. Tedooo already has users from more than 150 different countries and is growing rapidly.

Seed Round: $2M at $7.5M pre-valuation (19%)

ASTRID ENTERTAINMENT

ABOUT: a gaming company focused on developing fantastical living worlds that inspire positive, community play and can cross over into different mediums, including film and TV

Our Investment: $1.5M as a SAFE with a Cap of $15M and a 20% discount (Additional investors include NetEase, China's second biggest gaming company)